

**PUBLIC VERSION-CONFIDENTIAL MATERIALS EXCLUDED**

Before the

FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-01

20230930-DK-BUTTERFLY-1, INC. v. BAL CONTAINER LINE CO., LIMITED

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**COMPLAINANT'S OPENING BRIEF**

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“The primary objective of the shipping laws administered by the FMC is to protect the shipping industry’s customers, not members of the industry.” *Boston Shipping Ass’n, Inc. v. Fed. Mar. Comm’n*, 706 F.2d 1231, 1238 (1st Cir. 1983).

“[T]he port congestion of course would bring difficulties, otherwise the port would not be congested.” Qingzhi Liu Dep. Tr. 32:15-18.

“The port congestion . . . made the customers’ time for holding [] the container longer, and the congestion outside of the port made it difficult for them to retrieve the containers, and therefore, the cycle . . . for the time of the containers[’] operation had increased in general.” Cathy Sun Dep. Tr. 52:12-52:21.

Pursuant to Rule 214 of the Federal Maritime Commission’s (“FMC” or the “Commission”) Rules of Practice and Procedure (the “Rules”), 46 C.F.R. Section 502.214, and the Presiding Officer’s Fifth Revised Scheduling Order in this action, Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant” or “BBBY”), by and through its undersigned attorneys, hereby submits its Opening Brief.<sup>1</sup>

### INTRODUCTION

During the COVID-19 pandemic, BBBY and other American importers faced historic supply chain challenges. BBBY ultimately was forced into bankruptcy. Respondent BAL Container Line Co., Limited (“Respondent” or “BAL”), by contrast, took advantage of unprecedented port congestion at the Ports of Los Angeles and Long Beach to rake in profits via detention and demurrage penalties.

The record in this proceeding sheds light on how Respondent was able to benefit so asymmetrically from a global pandemic. Respondent took advantage of market conditions, including widespread port delays exacerbated by Respondent’s own decisions and strategies, to charge exorbitant detention and demurrage penalties and further pad their bottom line during a period of already record high rates for ocean carriage. The result was an unprecedented windfall

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<sup>1</sup> Citations to information in the record are contained in BBBY’s Appendix (“APP-\_\_\_”).

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for Respondent at the extraordinary expense of BBY and other importers. Indeed, despite widely documented issues entirely outside of BBY and other shippers' control—including record-breaking port congestion, sustained delays, equipment shortages, and lack of terminal appointments—BAL imposed multimillion-dollar detention and demurrage penalties on BBY.

As discussed herein, the evidence demonstrates that Respondent's conduct violated 46 U.S.C. Section 41102(c) of the Shipping Act, 46 C.F.R. Section 545.5, and the Commission's Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638, 29638 (May 18, 2020), (codified at 46 C.F.R. § 545.5) (the "Interpretive Rule"). Specifically, BAL took advantage of the unprecedented supply chain dislocations and resulting congestion at marine terminals around the world, and specifically at the Ports of Los Angeles and Long Beach, to impose unreasonable detention and demurrage penalties on BBY, even though such penalties arose from circumstances outside of BBY's control (and despite BBY's enormous efforts to avoid or mitigate such charges), and thus could not have functioned to incentivize the free flow of containers, as required by the Shipping Act and the Commission's Interpretive Rule in order to be deemed just, reasonable, and permissible. The detention and demurrage penalties at issue during the relevant time period in this action were also untethered to any direct or opportunity costs to BAL associated with the underlying containers, and thus were objectively excessive and unreasonable.

### **I. THE PARTIES**

#### **A. 20230930-DK-Butterfly-1, Inc. (Complainant)**

Complainant 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. is a corporation existing under the laws of New York with a mailing address of P.O. Box 1596, Union, New Jersey 07083, reachable via telephone via (954) 468-2444, and via its undersigned counsel's telephone numbers and email addresses listed below. (C6.) For purposes of the shipments that are

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the subject of this action, BBY was a “shipper” as that term is defined by 46 U.S.C. Section 40102(23). (C7.) Prior to filing a change of name certificate to its present name with the New York State Division of Corporations, State Records, and Uniform Commercial Code on September 21, 2023, Complainant’s corporate name was Bed Bath & Beyond Inc. (C8.)

### **B. BAL Container Line Co., Limited (Respondent)**

Respondent BAL Container Line Co., Limited is a company existing under the laws of the Hong Kong Special Administrative Region of the People’s Republic of China with its principal place of business located at Office No. 2, 20/F, 135 Bonham Strand Centre, 135 Bonham Strand, Sheung Wan, Hong Kong. Respondent BAL is an inactive vessel-operating “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with organization number 029233. (C10-11.) Respondent was an active vessel-operating ocean common carrier during the time period relevant to Complainant’s claims in this action. (C11.)

## **PROPOSED FINDINGS OF FACTS**

BBY’s proposed findings of fact (the “FOF”), filed concurrently herewith, are incorporated by reference. Citations to the FOF are denoted by (“C\_\_\_”).

## **LEGAL FRAMEWORK**

### **I. Count I: Violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5**

Count I of Complainant’s Verified Complaint alleges violations of both 46 U.S. Code Section 41102(c), which prohibits common carriers from “fail[ing] to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property” and 46 C.F.R. Section 545.5(c)(1), a rule promulgated by the Commission “to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and [46 C.F.R.] § 545.4(d) in the context of demurrage and detention”, which states that “[i]n assessing the reasonableness of demurrage and detention practices and regulations, the

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Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. §§ 545.5(a), (c)(1). As such, the reasonableness and permissibility of such charges are assessed in accordance with the “incentive principle.” *Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113, 1115 (D.C. Cir. 2024) (“*Evergreen P*”) (the incentive principle “provides the ‘reasonableness’ of detention charges will be judged by ‘the extent to which ... [they] are serving their intended primary purposes as financial incentives to promote freight fluidity.’ § 545.5(c)(1).”). While there are no bright line rules in making such an assessment, *see id.* 1117–18, promotion of freight fluidity is “a concept that is broader than simply the quickest equipment return and which requires balancing competing incentives” and “charges that place all financial risk on the shippers and their intermediaries . . . do not encourage the carriers and marine terminal operators (‘MTOs’) to be creative or innovative about how they could promote freight fluidity.” *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp.*, FMC Dkt. No. 1966(I), 2025 WL 516256, at \*5, 6 (FMC Feb. 13, 2025).

The Commission has also explicitly stated that “it intended the Interpretive Rule to reflect a ‘general principle[]’ that ‘truckers should not be penalized by . . . detention practices when circumstances are such that they cannot retrieve containers from, or return containers to, marine terminals because under those circumstances the charges cannot serve their incentive function.’” *Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, No. 25-1104, 2026 WL 1140942, at \*3 (D.C. Cir. Apr. 28, 2026) (“*Evergreen IP*”) (quoting the Interpretive Rule, 85 Fed. Reg. at 29638) (brackets and ellipsis in original). These circumstances include when ports are closed. The primary purpose of detention is “incentivizing efficient equipment return to enhance freight fluidity”; the secondary purpose of “compensating carriers for costs incurred due to delay” is *not*

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prioritized. *Id.* at \*5. Accordingly, when empty containers cannot be returned, the imposition of detention charges is likely to be unreasonable. *Id.* at \*3.

### JURISDICTION

The FMC has subject-matter jurisdiction over BBY's claims in this action pursuant to the Shipping Act and, in particular, 46 U.S.C. Sections 41301 through 41309. The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See, e.g., Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, FMC Dkt. No. 99-24, 2000 WL 1648961, at \*15 (FMC Oct. 31, 2000). The Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations. *Id.*

The Commission's obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, and even where the parties have already obtained relief for those claims in another forum. *See MCS Indus., Inc. v. MSC Mediterranean Shipping Co. S.A.*, FMC Dkt. No. 21-05, 2024 WL 95383, at \*7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, FMC Dkt. No. 02-04, 2006 WL 2007808, at \*10-11 (FMC May 10, 2006).

The FMC has personal jurisdiction over Respondent as an "ocean common carrier", as that term is defined by 46 U.S.C. Section 40102(18), and Respondent acted as a regulated entity with respect to the conduct at issue in this action. (C11.) *See Crocus Investments, LLC v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 15-04, 2019 WL 4734299, at \*7 (FMC July 16, 2019), *aff'd*, No.

21-1199, 2022 WL 3012275 (D.C. Cir. July 29, 2022) (“the inquiry is whether a respondent was acting as regulated entity with respect to the conduct at issue”).

Complainant’s claims and request for reparations in this action are timely pursuant to 46 U.S.C. Section 41301(a). The alleged violations at issue in this action occurred between 2021 and 2022, and the Complaint in this action was filed within three years of those alleged violations. To the extent any of Complainant’s claims in this action would otherwise fall outside the three-year limitations period, that period was tolled pursuant to a written Tolling Agreement between Complainant and Respondent dated December 18, 2024, which tolled all claims arising out of the conduct at issue in this action from December 18, 2024, through the date the Complaint was filed (i.e., December 31, 2024). (C2.)

## **ARGUMENT**

### **I. Count I: BAL’s Policy of Imposing Unreasonable Detention and Demurrage Charges Constitutes a Violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5.**

#### **A. Count I, Element 1: BAL was an ocean common carrier during the relevant time period.**

This element has been established. (C11.)

#### **B. Count I, Element 2: BAL’s policies and practices of imposing unreasonable detention and demurrage charges occurred on a normal, customary, and continuous basis.**

In 2021 and 2022, BAL undertook a policy and practice of imposing unjust, unreasonable, and excessive detention and demurrage charges that was normal, customary, and continuous throughout the relevant time period. Specifically, during 2021 and 2022, \$3,673,583 in detention charges (the “Detention Charges”) were assessed for BBBY shipments moving under BAL terms, in hundreds of separate transactions. (C51-52, 120, 123.) During 2021 and 2022, \$6,021,609 in demurrage charges (the “Demurrage Charges” and, together with the Detention Charges, the “Detention and Demurrage Charges”, “D&D Charges”, or “Charges”) were assessed for BBBY

shipments moving under BAL terms, also in hundreds of separate transactions. (C50, 52, 120, 123.)

Accordingly, this element is established.

**C. Count I, Element 3: BAL's policies and practices of assessing unreasonable detention and demurrage charges related to and were connected with receiving, handling, storing, or delivering property.**

“[S]ection 41102(c) concerns ocean carrier, marine operator, and ocean transportation intermediary practices and regulations ‘relating to or connected with receiving, handling, storing, or delivering property.’” Interpretive Rule, 85 Fed. Reg. at 29650. Ocean carrier demurrage and detention practices are subject to 46 U.S.C. Section 41102(c) and Commission oversight, regardless of whether the practices relate to conduct at ports or inland. Interpretive Rule, 85 Fed. Reg. at 29650.

The D&D Charges at issue arise directly from BAL's handling of BBY cargo in the course of providing transportation services. BAL's practices and regulations related to D&D Charges against BBY are thus related or connected to the movement of cargo in ocean shipping, and this element is established. (C48-48.1.)

**D. Count I, Element 4: BAL's policies and practices of assessing unreasonable detention and demurrage charges against BBY were unjust or unreasonable.**

During the relevant time period, BAL assessed unreasonable and unjust D&D Charges against BBY based on arbitrary and unfair practices. Appendix B of the Expert Report of John D. McCown submitted in this action (the “McCown Report”) reflects demurrage charge payments made by BBY for BAL shipments. (C50.) Appendix C of the McCown Report reflects detention charge payments made by BBY for BAL shipments. (C51.) These D&D Charges are unjust and unreasonable based on BAL's unreasonable practices, including (1) unreasonable rates underlying the Charges untethered to BAL's operating costs or the incentivization of cargo movement and instead tied only to punishing BBY and other shippers in order to maximize BAL's profits, (2)

unreasonable bases for the Charges, and (3) disregarding BBY's significant efforts to mitigate the Charges despite circumstances outside of its control.

Regarding the rates imposed by BAL for detention and demurrage, although the Commission has acknowledged that "[w]hether a detention charge is intended to compensate the carrier for [its] additional costs can be relevant to the reasonableness inquiry," it has also explained that "historically any compensatory function of these charges was intended to reimburse ocean carriers only for additional costs incurred after free time expired", and was "not the mechanism by which ocean carriers recover all costs related to their equipment". *TCW, Inc.*, 2025 WL 516256 at \*10 (quoting Interpretive Rule, 85 Fed. Reg. at 29651 n.214). The Commission has also emphasized that ocean carriers can also "*produc[e] evidence* regarding the compensatory aspects of demurrage and detention in individual cases." *Id.* (quoting Interpretive Rule, 85 Fed. Reg. at 29652) (emphasis in original).

As to reasonableness generally, and as specifically applicable to BAL's practices regarding the D&D Charges, 46 C.F.R. Section 545.5(c)(1) states that "[i]n assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity." 46 C.F.R. § 545.5(c)(1). Accordingly, the reasonableness of BAL's D&D Charges to BBY are analyzed in accordance with the "incentive principle". *Evergreen I*, 106 F.4th at 1115 (the incentive principle "provides the 'reasonableness' of detention and demurrage charges will be judged by 'the extent to which . . . [they] are serving their intended primary purposes as financial incentives to promote freight fluidity.' § 545.5(c)(1).") The D.C. Circuit has held that there are no "bright line" rules for determining whether complained-of D&D

charges are just or reasonable, and that the Commission must consider the specific facts and circumstances as a whole on a case-by-case basis. *Id.* 1117–18.

46 C.F.R. Section 545.5(c)(2) lists particular applications of the incentive principle:

(i) Cargo availability. The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.

As detailed below, BAL’s demurrage practices bore no relationship to actual cargo availability. Throughout 2021 and 2022, BAL imposed demurrage charges on BBY for containers that were physically inaccessible, buried beneath stacks of other containers in marine terminals, unreachable due to congestion, or otherwise not cleared for pickup. (C33.5, 39.3.); (C111.); (C37.1.1-37.1.13.); (C37.3.1-37.3.17.) Because cargo was not, in fact, *available* for retrieval during these periods, BAL’s continued assessment of demurrage was inconsistent with the necessarily incentivizing purpose of demurrage charges.

(ii) Empty container return. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable. 46 C.F.R. § 545.5(c)(2)(ii).

As detailed below, BAL imposed detention charges on BBY during the repeated and extended periods when ports were closed for service and were not accepting empty containers. (C78.) For instance, in addition to regular weekend closures, the ports of Los Angeles and Long Beach were frequently closed for periods as short as one day and, on multiple occasions during the relevant time period, *as long as weeks*. (C78.1.) Furthermore, even when these ports were open, often there were no appointments available to drop off containers, a so-called “dual appointment” or “dual transaction” requirement was in place (such that a container was not permitted to be returned unless the drayage provider simultaneously had an appointment to pick up another container), or lines were so long that the truckers were unable to return the containers before the

port closed for the day. During these times, BBY, through no fault of its own, was unable to return empty containers in order to avoid the fees imposed by BAL.

(iii) Notice of cargo availability. In assessing the reasonableness of demurrage practices and regulations, the Commission may consider whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval. The Commission may consider the type of notice, to whom notice is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice. 46 C.F.R. § 545.5(c)(2)(iii).

As detailed below, BAL's detention practices squarely violated this principle. Throughout 2021–22, BBY's drayage providers repeatedly were unable to return empty BAL containers to *any* terminal due to conditions entirely outside of BBY's control. (C34.2, 37.2.8, 37.3.4, 38.1, 112.) Such charges are *precisely* the type that 46 C.F.R. Section 545.5(c)(2) identifies as likely unreasonable. *See* 46 C.F.R. § 545.5(c)(2)(i)-(iii).

In addition, 46 C.F.R. Section 545.5(d) states:

The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.

BAL's dispute resolution process was structurally designed to maximize collections and minimize adjustments, not to provide meaningful recourse. (C79.) That [REDACTED]

[REDACTED]

[REDACTED] reflects a dispute resolution structure that is neither accessible nor fair, and that falls well short of the standards contemplated by 46 C.F.R. Section 545.5(d).

Finally, charges assessed by ocean carriers against customers based on days when terminals imposed “no empty in” / “dual appointment” / “dual transaction” requirements are inconsistent

with FMC precedents because such charges are on days that the customers cannot move their cargo. *See Hapag-Lloyd, A.G. et un.-Possible Violations of 46 U.S.C. § 41102(c)*, FMC Dkt. No. 21-09, 2022 WL 1239377, at \*33 (FMC Apr. 22, 2022) (Initial Decision) (finding a violation of an element of 46 U.S.C. § 41102(c) was met where Complainant established that the ocean freight carrier failed to waive detention charges assessed on days when appointments to pick up containers were unavailable).

**1. The detention charges BAL imposed on BBY were unreasonable because BBY was unable to avoid them, and thus they could not have served the applicable incentive principle.**

To evaluate the reasonableness of challenged detention and demurrage fees, the FMC considers the extent to which the fees “are serving their intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c)(1). “‘Absent extenuating circumstances,’ the Interpretive Rule explains, ‘imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, [is] likely to be found unreasonable.’” *Evergreen II*, 2026 WL 1140942 at \*3 (internal citations omitted) (brackets in original).

The *Evergreen II* decision applied the incentive principle to determine that detention charges were inappropriate where a container could not be picked up until the end of free time and could not be returned until after free time, all due to port closures. *Id.* at \*4. The same facts apply to large amounts of the detention charges at issue here. For instance, aggregate analysis of port closures shows that the Ports of Los Angeles and Long Beach were ***closed or limited approximately 60% of the days*** during the relevant time period. In particular, there was no service or limited service from October 7, 2021 to October 26, 2021; from November 23, 2021, to December 29, 2021; from January 21, 2022, to February 2, 2022; and from March 9, 2022, to March 20, 2022. (C78.1.) This, of course, only represents the longest spans of closures; there were

also numerous daily closures at seemingly random other times. (C78.1.) But closed ports, at least, did not require truckers to waste time attempting unsuccessful deliveries. As bad or worse were the numerous days when the ports were open, but the lines were so long that, even after waiting in them, the truckers were unable to return containers because the port had already closed. Many ports also had nominally open days where either no appointments for drop-off were actually available, or where the only available appointments were for dual transactions, requiring a trucker also to have an appointment to pick up a container in order to drop off an empty container. (C78.1.)

In *Evergreen II*, the U.S. Court of Appeals for the D.C. Circuit approvingly quoted the FMC's guidance on exactly how such issues should be interpreted:

If demurrage cannot act as an incentive for cargo and equipment fluidity because, for instance, a marine terminal is closed for several days due to a storm, charging demurrage in such a situation, even if a container is already in demurrage, raises questions as to whether such demurrage practices are tailored to their intended purpose in accordance with section 41102(c).

*Id.*, at \*8. The record shows that, on all of these days during the relevant time period, BBBY could not have been incentivized by the Detention Charges to better promote freight fluidity because BBBY had no ability to return the containers to port. For this reason, these Detention Charges were unjust and unreasonable.

**2. BAL's unreasonable detention and demurrage rates are unjustified as a means of compensating BAL's direct or opportunity costs associated with container movement.**

Detention and demurrage charges were traditionally not intended as a source of profits—to ocean carriers, port terminals, or otherwise—but rather as a method of incentivizing the free flow of containers. *Evergreen I*, 106 F.4th at 1115 (the incentive principle “provides the ‘reasonableness’ of detention and demurrage charges will be judged by ‘the extent to which . . . [they] are serving their intended primary purposes as financial incentives to promote freight fluidity.’ § 545.5(c)(1).”). BAL is well aware that the incentive principle, as a means of promoting

freight fluidity, acts as the FMC's primary guideline for determining when detention and demurrage charges are permissible to impose on customers such as BBY. (C59.) Nevertheless, BAL itself has acknowledged that its detention and demurrage rates generated profit. (C67.)

Review of BAL's per diem (i.e., daily) detention and demurrage rates confirms that, in contravention of this guiding principle and historical industry practice, BAL unreasonably sought to enrich itself through the assessment of detention and demurrage charges at exorbitantly high rates unconnected to the direct or opportunity costs associated with the underlying equipment. Looking at *all loads* moved by BBY with BAL, the average D&D Charges per load are **\$15,688**. (C53.) Looking just at the subset of BAL loads on which the D&D Charges at issue were actually imposed (i.e., excluding BBY-BAL loads that had no such Charges), the resulting average D&D Charges per load are a staggering **\$21,497**. (C53.) These charges are disproportionately higher than BBY's experience even with other ocean common carriers during this challenging time period. (C53.)

The scale of that disparity becomes clear when BAL's charges are measured against actual industry data collected by the FMC, which tracked total detention and demurrage income from the top nine carriers—which together represented 75.5% of total container shipping industry revenue at the time—from the second quarter of 2020 through the fourth quarter of 2022. (C82.) Those nine carriers collectively collected \$11.7 billion in detention and demurrage charges over that period, yielding an industry average of just \$39.43 per TEU. (C82.) Comparing BBY's experience with BAL to industry data on D&D collected by the FMC shows that BBY's experience resulted in paying charges **41 times higher** as a percentage of revenue and **199 times higher** on a total per-TEU-handled basis. (C57, 65, 84.)

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The overreach is equally apparent when BAL's per diem rates are compared to its own actual costs. As detailed below, BAL's average U.S. port per diem charge of \$165 at the initial tier is **56 times BAL's actual carrying cost** in demurrage situations, and **116 times its actual carrying cost** in detention situations. (C66.) More broadly, when tariff per diem detention and demurrage rates range from **82 to 171 times** the direct underlying ownership, maintenance, and storage costs of the container, any legitimate justification grounded in equipment fluidity collapses—such rates are not even remotely compensatory, but instead overwhelmingly punitive. (C86.) BAL's Charges imposed on BBY also exceed BBY's experience with other carriers, an incongruity that may be explained by days spent waiting for a terminal berth being improperly added to the D&D Charges at issue. (C90.) Taken together, these facts establish that BAL's detention and demurrage charges were assessed to drive profit, not to promote freight fluidity, as the governing incentive principle requires. (C67.)

As to the underlying direct ownership costs, the McCown Report explains that BAL's per diem rates are **multiplies more** than such costs (C60), and are the same regardless of the length of the associated container's dwell (C63), which is inconsistent with any practice that purports to assess detention and demurrage charges based on the promotion of freight fluidity rather than BAL's own profit. Specifically, McCown explains that, even assuming all of BAL's containers were brand new, the cost of leasing such containers would have only been **\$1.15 per day per container**, as compared to the even less expensive position assuming all of BAL's containers were purchased new at the approximate cost of \$4,200 per container in 2022, which would have cost **\$0.80 per day per container**. (C60.) In total, that puts the total direct ownership and maintenance costs for a 40-foot container at **between \$1.25 and \$1.60 per day**. (C60.) McCown also calculated the cost per container per day to keep a container in port as **\$1.52 per container per day**. (C60.)

The McCown Report explains that when the additional direct cost of the land storage for container equipment is considered specifically in the context of the capital and maintenance cost of such equipment, BAL's average U.S. port per diem of \$165 at the initial tier is **56 times** BAL's actual carrying cost for demurrage situations and **116 times** the carrying cost for detention situations. (C66.) These facts establish that BAL's detention and demurrage charges were assessed in order to drive profit, rather than to promote freight fluidity as the incentive principle requires. (C67.)

As to opportunity costs—i.e., the cost to BAL of taking a particular container out of service for a period of time—BAL's high detention and demurrage rates are also inconsistent with FMC rules. (C70.) Here, there was no opportunity cost to BAL. During the pandemic, BAL's container ships ran full on its headhaul lanes. (C71.) Accordingly, because there were no container shortages affecting BAL's ability to fill its ships, BAL cannot claim "opportunity costs" as a basis for the D&D Charges it assessed BBY (or, indeed, any of its customers) during the pandemic. (C73.)

BBY paid a total of \$9,695,192 in D&D Charges for containers carried by BAL. (C69.) The McCown Report details the unreasonable and disproportionately high nature of these Charges in two steps. First, scaling the total D&D Charges down to what they would have been had BAL's D&D incidence matched industry norms—using FMC data showing the top nine carriers collected D&D equal to 1.53% of revenue versus BBY's extraordinary 62.96% ratio with BAL—brings the charges down to \$235,604. (C69.) Second, that amount should be further reduced to take into account the unreasonableness of per diem rates. Applying a further 23.9% discount reflects the fact that even standard industry per diem rates are themselves unreasonably high, based on a blended average of three benchmarks: Trailer Bridge's rates (21.3% of industry rates), European port rates (24.2%), and Knight Transportation trailer detention rates (26.3%). (C69.) This results in a total charge of \$56,309, i.e., the total D&D Charges it should have imposed on BBY had

BAL billed consistently with industry norms and used reasonable per diem amounts. (C69.) These facts establish that BAL's detention and demurrage rates are unreasonable, are not set in order to compensate BAL for any direct or opportunity costs associated with the use of its containers, and instead were impermissibly used by BAL as a means of driving revenue. (C77.)

As further outlined below, BBY undertook substantial efforts to avoid BAL's exorbitant D&D Charges, which could not have had the effect of incentivizing freight fluidity because, simply put, nothing more could have been done to keep the containers at issue moving faster.

Accordingly, BAL's detention and demurrage rates are not reasonably calculated either to compensate BAL for the actual cost of container delays or to incentivize customers to move freight, and thus violate the incentive principle.

**3. BAL assessed unreasonable Detention and Demurrage Charges against BBY.**

BAL staff has admitted that BAL knew that, in instances where the delays leading to detention or demurrage charges were outside of the customer's control, the charge would not be appropriate under the FMC's incentive principle. (C80.) Nevertheless, in an opportunistic effort to manipulate port congestion and other disruptions caused by the pandemic, ocean carriers, including BAL, began assessing massive amounts of detention and demurrage charges against their shipping customers during times when the incentive principle did not and could not justify such charges. (C83-87.)

**i. Port congestion significantly disrupted the flow of containers.**

As described in the FOF, marine terminals around the world, including those at Los Angeles and Long Beach, experienced historic levels of congestion during the pandemic. (C29, 36.) BAL was well aware of the congestion impacting ports throughout the world. (C35.) Specifically, BAL knew and acknowledged that severe port congestion impacted the Ports of Los

Angeles and Long Beach (C35, 38.1.-38.4.,105), and closely monitored the situation at the time. (C35, 105.) BAL was well aware that wait times at the terminals had increased, that congestion was ongoing, and that there were container shortages. (C35, 105.) These forces were beyond any of BAL's customers' collective or individual control, as BAL's employees recognized that the times for customers to retrieve and return containers had unavoidably increased across the board. (C91-95.)

Due to these well-known disruptions at U.S. ports and associated infrastructure shortcomings and shortages during the pandemic, most, if not all, of the delays incurred by shippers during this period were not reasonably within shippers' control. (C81.) Because shippers during this period of significant disruption were frequently unable to move containers because of extrinsic forces, there was no justification for detention or demurrage charges that could not have incentivized moves that shippers could not make, and carriers may reasonably charge only enough to compensate them for their *actual* expenses associated with the carrying costs of equipment. (C64, 86-87.)

The Ports of Los Angeles and Long Beach, specifically, which together handle about 40% of the nation's imports and which handled 100% of the ocean freight at issue in this action, experienced severe congestion throughout 2021 and early 2022. (C26.) This congestion, driven by high consumer demand and ongoing effects of the COVID-19 pandemic, led to significant delays in unloading and moving cargo. (C26.1.-26.8.)

These disruptions at the critical entry points of Los Angeles and Long Beach led to widespread issues, affecting inventory levels and contributing to delays and increased costs in the supply chain. Impacts included extensive delays, lack of appointments to pick up and return containers, and chassis shortages. (C33, 33.1.-33.8.) The ports and ocean carriers implemented

various measures to address the congestion, such as adding extra loaders and sweeper vessels to clear backlogs, but challenges remained due to the high volumes and logistical bottlenecks. (C27-30.)

**ii. BAL assessed arbitrary and exorbitant Detention and Demurrage Charges against BBY.**

BAL's practice of assessing exorbitant amounts of D&D Charges at high per diem rates against BBY during the pandemic was unreasonable and contrary to the incentive principle. (C83-87.) These D&D Charges were disproportionately high and unreasonable. (C53, 57, 123.1.2.)

BAL maintained a policy of shifting the burden to its customers, first billing those customers demurrage and detention charges and then issuing refunds *only* if a customer could prove BAL miscalculated the charges or that the charges were not due to the customer's fault. (C80.1.) In fact, despite recognizing that it would not be appropriate to charge detention and demurrage for circumstances outside of a shipper's control (C80), ***BAL did exactly that.*** (C80.1.) This is the inverse of the incentive principle, with BAL assessing D&D charges on its customers on a strict liability basis, regardless of whether the customer had control over the delays in container movement.

In 2018, FMC Commissioner Rebecca Dye launched Fact Finding Investigation No. 28 to examine ocean carriers' and marine terminals' demurrage and detention practices, and her December 2018 findings, approved by the FMC in December 2019, stated in relevant part:

[A] carrier is obligated, as part of its contract of carriage, to tender for delivery cargo to a consignee. Tender requires more than depositing cargo on a 'reasonable pier.' To tender for delivery, unless the Customs or regulations of the port require otherwise, a carrier must: (1) unload cargo onto a dock or pier, (2) ***place it at a location where it is accessible to the consignee***, (3) segregate it by bill of lading and count, (4) give the notice to the consignee, and (5) ***afford the consignee a reasonable opportunity to come and get it.*** In discharging this duty, the carrier is also required to provide, directly or through an agent, adequate terminal facilities.

This reasonable opportunity to pick up cargo is what the industry refers to as free time for demurrage. ***Because it is part of a carrier's transportation obligation, free time is not a gratuity***; the carrier or its agents or contractors (e.g. terminals) must provide it. Thus tender and demurrage are related: a carrier cannot charge demurrage unless it has tendered cargo for delivery. (emphasis added).

Fact-Finding Investigation No. 28 - Conditions and Practices Relating To Detention, Demurrage, and Free Time In International Oceanborne Commerce, 2018 WL 6791232, at \*17 (FMC Dec. 3, 2018). The FMC subsequently built on these findings in its Interpretive Rule, which became a final rule in May 2020, explaining that “as part of its transportation obligation, an ocean carrier must allow a shipper a ‘reasonable opportunity to retrieve its cargo,’ i.e., free time. Free time is ‘free’ because during this time period, an ocean carrier cannot assess any demurrage.” Interpretive Rule, 85 Fed. Reg. at 29638, 29650, 29652.

When pressed, BAL’s employees acknowledged as much, admitting that detention and demurrage charges should not be billed if customers were not responsible for delays in pickup or return. (C104.) Ultimately, however, BAL’s D&D practices were designed to squeeze further profits from its customers far beyond covering any costs BAL might claim. (C39.3, 67, 74, 77.) Issues and disputes with this practice were repeatedly brought to BAL’s attention, but BAL did not change its practice (C39.1.-39.3.)

**4. Factors outside of BBBY’s control interfered with BBBY’s *bona fide* and substantial efforts to mitigate BAL’s unreasonable Detention and Demurrage Charges.**

**i. Factors outside of BBBY’s control were well documented.**

The impacts of historic port congestion at the Ports of Los Angeles and Long Beach were extensive and well out of the control of BBBY or any other shipper. During the pandemic, the regular flow of containers was interrupted, causing large batches to arrive all at once and leading to long dwelling containers. (C31, 33.1.-33.4.) Indeed, at points throughout the pandemic, the glut of containers effectively slowed the flow of containers from terminals to a halt. (C27). As detailed

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on a container-by-container basis in the FOF, these widespread and persistent issues at the Ports of Los Angeles and Long Beach made it impossible for BBY to pick up and return containers efficiently, despite its best efforts. These conditions included:

- Lack of terminal appointments. (C33.8., 37.1.1.-37.1.13.)
- Equipment issues and chassis shortages. (C33.7, 33.7.1., 37.2.1.-37.2.12.)
- Restrictions on shippers' ability to retrieve and return containers. (C34, 34.1., 37.3.1.-37.3.17.)
- Inaccurate container data. (C37.3.12.)
- Buried containers. (C33.5.)
- Refusal to release containers to truckers. (C37.4.4.)
- Extended holds on containers. (C37.1.10., 37.4.7., 37.4.16., 37.4.17., 37.4.22.)
- Long lines and delayed service at the terminals. (C33.1., 33.2, 33.6.)

### **ii. BBY's efforts to mitigate these factors were extensive.**

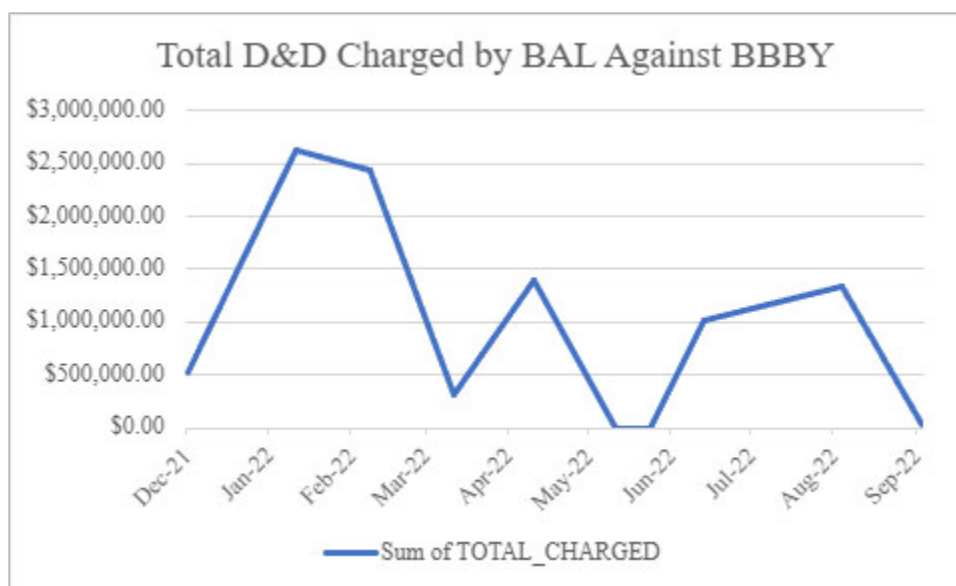
Despite these widespread port congestion issues outside of its control, which forced BBY to operate outside of its normal procedures, (C109.), and instead pushed it into "survival mode to try to get freight in and out as fast as we could to make space", (C109, 111.), BBY made herculean efforts to minimize D&D Charges and get containers moved and returned in a timely manner. (C109.) These efforts included:

- Bringing in additional carriers and hiring a new vendor, EDRA, to address congestion issues. (C109.3.)
  - EDRA's carrier data allowed BBY to know the arrival dates of containers, (C109.3.); and to prioritize accordingly with a first-in, first-out process. (C109.3.)
- Addressing chassis shortages by hiring a broker. (C109.1.)

- Hiring another drayage carrier to prepare for an increase in volume. (C109.1.)
- Seeking additional drayage partners with chassis available. (C109.2.)
- Organizing calls that included carriers, distribution centers, and BBY's drayage vendor, EDRA, in order to help coordinate solutions to port congestion and shipping backlog issues. (C109.4.)
- Hiring enough employees to process all of the incoming containers. (C110.)

BBY incurred significant expense trying to deal with these challenging extrinsic conditions. (C109-111.) BAL's approach in assessing the Charges ignored the reality of BBY's influence, or lack thereof, on the situation. (C102, 104, 108.) BBY simply could not avoid the Charges because the delays were entirely outside of BBY's control. Ultimately, despite BBY's efforts, the improper D&D Charges levied by BAL continued to mount throughout 2021 and 2022. Indeed, as the below chart shows, BAL's D&D Charges imposed on BBY coincided with heightened periods of the worst congestion and equipment shortages at the Ports of Los Angeles and Long Beach (C118.):

Chart 1:



(C118.)

**E. Count I, Element 5: BAL's policies and practices of assessing unreasonable Detention and Demurrage Charges against BBY are the proximate cause of BBY's claimed losses.**

During 2021 and 2022, BAL assessed exorbitant D&D charges against BBY. Due to BAL's unjust and unreasonable regulations and practices detailed herein, BBY incurred, and actually paid, Charges totaling \$9,695,192.

Accordingly, BAL's practices and regulations were the proximate cause of the loss. "[A] party must show that it is entitled to a specific reparation, i.e., that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with 'reasonable certainty.'" *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, 29 S.R.R. 119, 2001 WL 865708, at \*80 n.75 (FMC 2001); *see also OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud North America, Inc.*, FMC Dkt. No. 21-11, 2024 WL 4034610, at \*21-23 (FMC Aug. 27, 2024) (approving damages calculation on basis of detailed spreadsheet submitted by the complainant reflecting actual shipments); *William R. Adair v. Penn-Nordic Lines, Inc.*, FMC Dkt. No. 1695(F), 26 S.R.R. 11, 1991 WL 383091, at \*23 (FMC ALJ Sept. 18, 1991) ("proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages."). The Commission has held that payment of detention and demurrage charges is sufficient to establish proximate cause and injury. *See, e.g., Hapag-Lloyd, A.G. et un.-Possible Violations of 46 U.S.C. S 41102(c)*, 2022 WL 1239377, at \*34; *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc. et un.*, FMC Dkt. No. 1987(I), 2023 WL 11645622, at \*13 (FMC July 17, 2023) (Claimant "demonstrates that it incurred damages in the amount of \$20,970 (FF 36), the amount it seeks as reparations, because of the double payments it was forced to make to obtain its shipments due to Respondents' conduct.").

## **II. Reparations**

Based on the violations detailed herein, Complainant is entitled to reparations from Respondent for the \$6,021,609 in Demurrage Charges and the \$3,673,583 in Detention Charges (for a total of \$9,695,192 in Charges) assessed by BAL and paid by Complainant in connection with its cargo carried by Respondent during the relevant time period.

As noted above, Appendices B and C of the McCown Report reflect payments made by BBY for D&D Charges imposed on shipments carried by BAL. (C122, 123.)

As detailed herein, during the time period relevant to this action, supply chain disruptions prevented the normal application of the incentive principle. (C123.1.3.) BBY went to extensive efforts to move containers, but conditions and actions of others beyond BBY's control caused BBY to incur the excessive Detention and Demurrage Charges. (C123.1.3.) Moreover, BAL's per diem rates were disproportionately high and untethered to any actual carrying cost incurred by BAL. (C123.1.) Furthermore, because BAL admittedly was able to sail its vessels full on transpacific routes throughout the relevant time period, there was no lost opportunity cost associated with any delays in moving or returning containers. (C123.1.1.)

Accordingly, the \$6,021,609 in Demurrage Charges and \$3,673,583 in Detention Charges reflected in Appendices B and C to the McCown Report were unreasonable in light of the relevant facts and circumstances discussed above. (C124, 125.)

## **CONCLUSION**

For the foregoing reasons, BBY respectfully requests that the Presiding Officer:

1. Find in favor of BBY on its claims under 46 U.S.C. Section 41102(c) and 46 C.F.R. § 545.5;
2. Award BBY reparations for its actual injuries as detailed herein pursuant to 46 U.S.C. Section 41305, plus interest at commercial rates compounded from the date of injury

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pursuant to 46 U.S.C. § 41305(a), BBY's reasonable attorneys' fees as "the prevailing party" pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper; and

3. Grant BBY such further relief that the Presiding Officer deems just and proper.

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Dated: May 21, 2026

Respectfully submitted,

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*Certificate of Service*

I hereby certify that I have this day served the foregoing document upon Respondent BAL Container Line Co., Limited by emailing a copy of the document to its counsel of record listed below:

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Dated: May 22, 2026

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